



ESOP Valuation Advisory Report

ESOP Compliance and Governance Guide

Prepared for founders and finance leaders who already have an Employee Share Option Plan and need to close the valuation, audit, and governance gap.

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Important notice: This guide is general guidance based on assessment responses. It is not a valuation report, audit opinion, legal advice, tax advice, investment advice, or employee communication advice. Formal advice requires a separate engagement and review of source documentation. For legal, tax, audit, or corporate secretarial matters, consult the relevant qualified professional

Your Assessment Summary

Based on your responses, you already have an ESOP in place. However, your answers indicate potential exposure regarding how the strike price is supported, how the valuation is explained to employees, or how the plan holds up under audit and investor review. This guide addresses how to secure your current plan.

Section 01

You have already taken the important step.

Setting up an Employee Share Option Plan is not a small decision. It tells your team that the company is being built for long term value, and that the people helping to create that value should share in the upside. But an ESOP without a formal, independent valuation is a governance structure with a missing foundation. The plan may exist legally, the cap table may be updated, and employees may already have received grant letters. None of that means the strike price is defensible.

This guide explains why the valuation matters, where the compliance and governance risks usually appear, and what to do next if you already have an ESOP in place but have not completed a formal independent valuation.

Section 02

Why is ESOP valuation not optional?

When a company issues employee stock options, it sets a strike price. That is the price employees will eventually pay to purchase shares if their options vest and they decide to

exercise. The strike price is not just an administrative input. It affects accounting, tax, employee trust, investor diligence, and dilution.

The number needs to come from somewhere credible. If it comes from an internal estimate, a founder view, a recent fundraising price used without adjustment, or a cap table system that simply records what management entered, it is exposed to challenge. In Singapore, that exposure matters because ESOP valuation touches SFRS(I) 2 or IFRS 2 accounting, audit review, IRAS tax treatment, and investor governance expectations. A formal ESOP valuation normally combines a valuation of the underlying shares with an option pricing model such as Black Scholes or a binomial model. Black Scholes is commonly used for simpler option structures, while binomial models are better suited where vesting, exercise behavior, or scenario assumptions are more complex. The output is not just a number. It is a documented basis for why that number is reasonable at the grant date.

Without that documentation, several risks can surface at once.

Where the issue appears	What usually gets challenged
Audit	Share based compensation expense, grant date assumptions, and option pricing support
Fundraising due diligence	Cap table quality, dilution, option pool governance, and historical grant pricing
Board review	Whether option grants were approved on a clear and documented basis
Employee communication	Whether the option value is credible and explainable
Future grants	Whether new options are priced using stale or unsupported assumptions

Section 03

What Cap Table Software Does Not Solve.

Many founders assume that once they use a cap table management platform, the valuation issue has been handled. That is not correct. Cap table software is useful, but it is not a substitute for independent valuation advice.

A cap table system records ownership, tracks vesting schedules, manages option grants, and gives HR or finance a cleaner way to administer the plan. It does not independently value the underlying shares. It does not produce a methodology backed valuation report. It does not defend the assumptions with auditors. It does not explain to employees why their strike price is fair. The software is the register.

A proper ESOP valuation process should connect the legal structure of the plan, the economics of the company, the rights attached to different share classes, and the technical option pricing assumptions. The output should be a formal report or memo that a board, auditor, investor, or finance team can understand and rely on.

That advisory gap is where many ESOP issues begin. The company believes the plan is under control because the administration looks organised. Later, during audit, due diligence, or employee communication, management realises the central number in the plan has never been independently substantiated. A proper ESOP valuation process should cover three things that software cannot provide on its own.

Important Note:

Cap table software is a register, not an advisory opinion. It records ownership, but it cannot defend the strike price to an auditor or explain the methodology to an employee.

Section 04

What should a defensible ESOP valuation include?

A defensible ESOP valuation is not just an option pricing calculation. It starts with the value of the company, then translates that value into an option value using assumptions that match the plan, the company, and the timing of the grant.

For a simple option structure, a Black Scholes model may be appropriate. For more complex conditions, a binomial model may provide a better reflection of vesting, exercise behavior, and early exercise assumptions. The right method depends on the facts. The key is that the method must be explained, the assumptions must be supportable, and the conclusion must be usable by the people relying on it.

Valuation component	What is reviewed
Company value	Financials, forecasts, latest financing round, market context, and capital structure
Share class rights	Preference shares, convertibles, liquidation preferences, and control rights
Grant details	Grant date, exercise price, vesting schedule, expiry, and leaver provisions
Model assumptions	Volatility, risk free rate, expected term, dividend yield, and exit assumptions where relevant
Report use case	Audit, board approval, investor review, or tax planning

Section 05

The Liquidity Question Founders Ask Too Late.

The most overlooked ESOP question is not only what the options are worth today. It is how employees eventually turn that value into cash.

Options are valuable only if there is a credible path to liquidity. In most companies, that path comes from an IPO, acquisition, secondary sale, share buyback, or other structured liquidity event. If employees cannot see how the value becomes real, they will discount the ESOP heavily, even if the valuation is technically correct.

This matters for retention. A founder may think the company has granted a meaningful incentive package. The employee may see a paper instrument with uncertain value, uncertain timing, and no clear exit route. When those two interpretations diverge, the ESOP stops functioning as an alignment tool.

The liquidity question should sit alongside valuation and governance. A stronger ESOP structure does not only answer what the strike price is. It also helps management think through vesting, exercise windows, potential secondary processes, employee communication, and how the plan will remain credible as the company grows.

Section 06

Your Immediate Next Steps.

If you have an existing ESOP but no formal valuation, you are carrying a governance gap. Do not ignore it until an auditor or investor forces the issue. Here is how to contain the exposure.

Step 1

Pause new grants until the valuation basis is established.

Any new options issued without a formal valuation carry the same governance risk as the earlier grants. Pausing does not mean abandoning the ESOP. It means containing the exposure until the strike price can be supported properly.

Step 2

Gather the existing ESOP documentation.

Pull together the option plan rules, grant letters, vesting schedules, cap table, shareholder agreements, latest financial statements, latest management accounts, previous fundraising documents, and any auditor or investor correspondence relating to the ESOP.

Step 3

Review the current strike price and grant history.

The valuation advisor should understand when options were granted, what strike price was used, how the number was determined, whether the business value has changed since then, and whether any grants need to be revisited from a documentation perspective.

Section 07

Ready to secure your ESOP structure?

We will review your current ESOP, identify what valuation support is needed, and manage the auditor relationship directly so you do not have to navigate it alone.

Book a call with us [here](#).